9. If a share of ₹ 10 on which ₹ 8 has been paid up is forfeited. Minimum reissue price is

(a) ₹ 10 per share (b) ₹ 8 per share

(c) ₹ 5 per share (d) ₹ 2 per share

10. Supreme Ltd. forfeited 100 shares of ₹ 10 each for non-payment of final call of ₹ 2 per share. All these shares were re-issued at ₹ 9 per share. What amount will be transferred to capital reserve account?

(a) ₹ 700 (b) ₹ 800

(c) ₹ 900 (d) ₹ 1,000

Answers

1 (c)	**2(d)**	**3(d)**	**4(b)**	**5 (a)**	**6(b)**	**7(c)**	**8(c)**	**9(d)**	**10(a)**

II Very short answer questions

1. What is a share?
2. What is over-subscription?
3. What is meant by calls in arrear?
4. Write a short note on securities premium account.
5. Why are the shares forfeited?

III Short answer questions

1. State the differences between preference shares and equity shares.
2. Write a brief note on calls in advance.
3. What is reissue of forfeited shares?
4. Write a short note on (a) Authorised capital (b) Reserve capital
5. What is meant by issue of shares for consideration other than cash?

IV Exercises

1. Progress Ltd. issued 50,000 ordinary shares of ₹ 10 each, payable ₹ 2 on application, ₹ 4 on allotment, ₹ 2 on first call and ₹ 2 on final call. All the shares are subscribed and amount was duly received. Pass journal entries.

Under subscription

2. Sampath company issued 25,000 equity shares at ₹ 10 per share payable ₹ 3 on application, ₹ 4 on allotment, ₹ 3 on first and final call. The public subscribed for 24,000 shares. The directors allotted all the 24,000 shares and received the money duly. Pass necessary journal entries.

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